

## Some Perceived Advantages

- Competition between companies results in low prices, higher quality, and wider selection of goods.
- Efficiency is encouraged in use of resources and the operation of companies to keep production costs low.
- Technology and innovation are encouraged.
- Workers and owners are motivated to earn money and make profits.
- The economy can respond quickly to change.
- When a company is doing well, it can afford to pay its workers well. When there is a shortage of workers, a company will pay higher wages to attract and keep them.



# TEXTBOOK EXAMPLE

## Some Perceived Disadvantages

- A wide gap may exist between high- and low-income earners.
- The economy may go through periods of growth and inflation (boom) and recession or depression (bust).
- There may be periods of high unemployment.
- Product or service advertising can manipulate consumer demand.
- Producers can form **monopolies** and exert too much control over the marketplace.
- Sometimes resources can be used ineffectively, and the costs may affect everyone in society (for example, factory pollution or depletion of resources).
- Sometimes resources are wasted on goods that people want, but which they may not need.